

First Philippine Scales (FPS): The 17% Cash Conversion Trap

FPS trades at **\$32.00 (\$9.75B Market Cap / \$10.3B Enterprise Value)**, marketed as a booming AI data center electrical gear supplier with a +200% backlog.

The Forensic Kill: Over 9 months, FPS generated only **\$35.2M in operating cash flow on \$210M of EBITDA (a 17% cash conversion rate)** due to massive working capital build (AR +72%, inventory +53%). FPS trades at an absurd **219× annualized operating cash flow**.

VALUATION MULTIPLE	CASH CONVERSION	VERDICT
32–34× FY26 EBITDA	Only 17% of EBITDA	FLAT (Price Gate ≤\$24)
219x Operating Cash Flow	AR +72%, inventory +53%	Wait for 10-K cash flow proof

The Key Financial Metrics in One View



EXECUTION ARCHITECTURE

Execution & Sizing Architecture

TRANCHE	TARGET LEVEL	ALLOCATION	EXECUTION RATIONALE
Price Gate	≤ \$24.00	1.00% (\$10,000)	Entry live only at <=\$24 with audited 10-K OCF conversion >50%.

All adjudications executed non-destructively under SignalOS Court Doctrine.